

try was ₹50.78 lakh crore, and the share of debt assets was ₹12.91 lakh crore, per industry body Association of Mutual Funds in India (AMFI).

"If only equity AUM is considered, the AUM-to-GDP ratio will still be lower. In the US, the GDP to MF AUM is almost equal," says A. Balasubramanian, MD & CEO of Aditya Birla Sun Life Mutual Fund, one of the largest fund houses in the country in terms of total assets.

He feels many more fund houses will enter the market and expand. "There is huge scope for more fund houses. If you go deeper into the country, people still prefer fixed deposits and local savings. That will change significantly," says Balasubramanian.

In this backdrop, the tech-native new entrants are widely expected to onboard more investors thanks to their innovative approach to distribution. In the process, these firms have brought in massive innovation both in terms of product and distribution, launching schemes with various differentiated investment approaches.

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WITH THE INFLUX of newcomers into the MF space, there has also been a rush to offer differentiated products. "We use technology to differentiate as well. In this investment driven industry with over 40 established players, any unique selling point must focus on investment strategies," says Ganesh Mohan, CEO of Bajaj Finserv Mutual Fund.

"I would say for new AMC's particularly it is very important. When you do not have much of a track record in this business, and you are trying to build scale and relevance, having both differentiated products as well as the support of distribution is critical to be able to build the business," he adds. As part of its own set of differentiators, Bajaj Finserv has come out with an investment philosophy based on InQuBe, the AMC's proprietary framework that adds a layer of behavioural finance to the informational and quantitative edges.

"Distribution and customer service: That is the key for newer players. Innovation in distribution is required in terms of how to reach newer investors," says Jain of Zerodha MF.

"One of the reasons why a lot of new players have come in is because of the coming of age of the digital ecosystem in India. That is what is triggering digital or online platforms across the



RUCHI PANDEY
CEO, OLD BRIDGE
MUTUAL FUND

"The amount of money sitting on the sidelines to get invested or the overall savings pool has changed so much, I feel any new entrant is just acting as a positive to the cause"

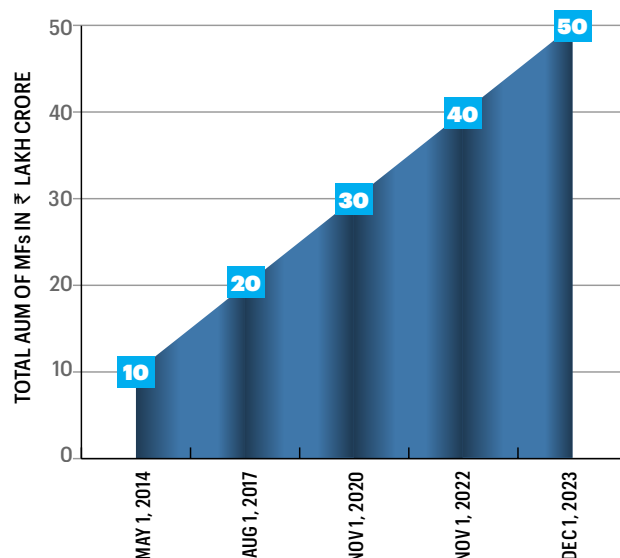


GANESH MOHAN
CEO, BAJAJ FINSERV
MUTUAL FUND

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AUM MILESTONES

Initially, a ₹10-lakh crore jump in AUM took three years The last ₹10-lakh crore jump in AUM took just 13 months



SOURCE AMFI